7. Which one of the following statements is not true in relation to incomplete records?

(a) It is an unscientific method of recording transactions
(b) Records are maintained only for cash and personal accounts
(c) It is suitable for all types of organisations
(d) Tax authorities do not accept

8. What is the amount of capital of the proprietor, if his assets are ₹ 85,000 and liabilities are ₹ 21,000?

(a) ₹ 85,000 (b) ₹ 1,06,000 (c) ₹ 21,000 (d) ₹ 64,000

9. When capital in the beginning is ₹ 10,000, drawings during the year is ₹ 6,000, profit made during the year is ₹ 2,000 and the additional capital introduced is ₹ 3,000, find out the amount of capital at the end.

(a) ₹ 9,000 (b) ₹ 11,000 (c) ₹ 21,000 (d) ₹ 3,000

10. Opening balance of debtors: ₹ 30,000, cash received: ₹ 1,00,000, credit sales: ₹ 90,000; closing balance of debtors is

(a) ₹ 30,000 b) ₹ 1,30,000 c) ₹ 40,000 d) ₹ 20,000

Answers

1. (c)	**2. (b)**	**3. (a)**	**4. (c)**	**5. (c)**	**6. (a)**	**7.(c)**	**8. (d)**	**9. (a)**	**10.(d)**

II Very short answer questions

1. What is meant by incomplete records?
2. State the accounts generally maintained by small sized sole trader when double entry accounting system is not followed.
3. What is a statement of affairs?

III Short answer questions

1. What are the features of incomplete records?
2. What are the limitations of incomplete records?
3. State the differences between double entry system and incomplete records.
4. State the procedure for calculating profit or loss through statement of affairs.
5. Differentiate between statement of affairs and balance sheet.
6. How is the amount of credit sale ascertained from incomplete records?

IV Exercises

1. From the following particulars ascertain profit or loss:

Particulars	₹
Capital at the beginning of the year (1st April, 2018)	5,00,000
Capital at the end of the year (31st March, 2019)	8,50,000
Additional capital introduced during the year	1,20,000
Drawings during the year	70,000

(Answer: Profit: ₹ 3,00,000)

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